

MAY JUNE 2020 P13

1-C:

- A- PPC does not show the degree of self-sufficiency of an economy
- B- No , PPC does not show international competitiveness; instead, it is TPC i.e. point outside the curve, that can be linked to trade.
- C- Yes , it is correct to say that PPC shows “combinations of output”
- D- A rate of “economic growth” can be shown through a “shift in PPC”

2-C:

Liquid assets represent those assets that are easily convertible to cash.

In this case, house and shares are illiquid assets.

Importantly, **bank balance** , **money in wallet**, and **money in jar are liquid assets**, the sum of which is “1800”(1500+200+100)

Salary as a teacher would not be counted as wealth ,since it is “income”

3-C:

A-Demerit goods are overallocated, that is they are over consumed and over produced, therefore, making this option incorrect since healthcare is under-consumed.

B: Free goods are those goods that are unlimited in supply i.e. they are in abundance, and since the basic principle of scarcity does not exist, there is no opportunity cost of consumption, which is not in the case of “healthcare”

C: It is in the case of merit goods , social benefits exceed private benefits ,giving existence to “external benefits” that are positive externalities enjoyed by the third party not directly involved in the transaction, which makes it evident that “healthcare is a merit good”.

D: Public goods , for example, streetlights due to non-rivalry and non-excludability, are subject to free rider problem, as a result of which an allocative mechanism known as “price mechanism “ is not used, and therefore private sector would never engage itself in provision. This is incorrect as in the case of healthcare, prices can be attached and there is existence of “ private hospitals”

4-D :

A: If interest rates fall, savings reduce and therefore due to the lost incentive to save, consumption increases. This is a factual statement which can be proven.

B: If interest rates fall, savings reduce and therefore due to the lost incentive to save, consumption increases. This is again a fact-based statement

C: There is an existence of a negative relationship between interest rates and consumption as when interest rates fall, savings reduce and therefore due to the lost incentive to save, consumption increases.

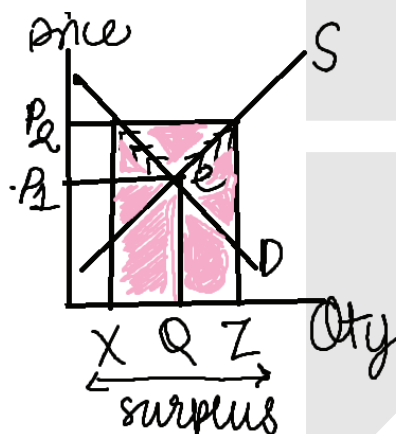
D: This is an “opinionated statement” as suggested by the usage of the word “ should”, making it a normative statement.

5-B:

A-In the market, there is already a surplus of good, and a decrease in demand would further extend the gap of surplus in an economy

B: In response to a surplus, the equilibrium prices fall, as a result of which, the quantity demanded extends, and since the producer surplus falls, the quantity supplied contracts, which leads to a “new equilibrium being achieved . This is why, this is correct.

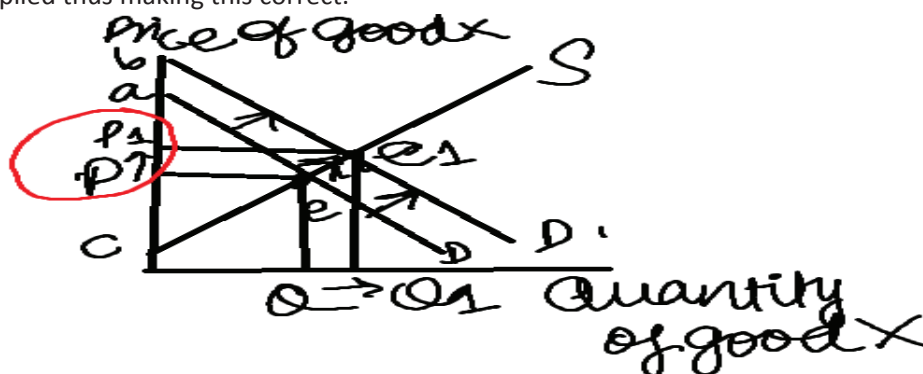
C: Because of government legislation of minimum price, qty supplied extends relative to qty demanded, leading to a “surplus”.



D: An increase in supply would further potentially exacerbate surpluses.

6-A:

A - A policy of transfer payments for example, to help “house buyers “ on modest incomes, will increase the demand for houses, and when demand rises, that is, there is a “rightward shift” along the demand curve ,there will be shortage and in turn a rise in prices ,therefore leading to an extension in qty supplied thus making this correct.

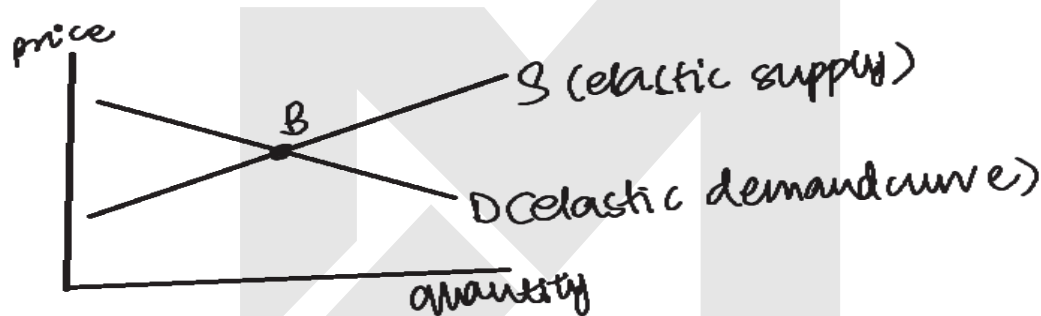


B: A restriction on the level of rent that can be charged, representing “maximum prices” will when lower the prices ,lead to a contraction in qty supplied after having signaled and dis incentivized producers ,thus making this incorrect.

C: A rise in the tax on materials will increase costs of production of producers, leading to a leftward shift in the supply curve, which when leads to “shortages”, leads to an upward pressure on prices, causing a “contraction in equilibrium qty” ,this is why this becomes incorrect

D: A reduction in subsidies will increase costs of production of producers, leading to a leftward shift in the supply curve, which when leads to “shortages”, leads to an upward pressure on prices, causing a “contraction in equilibrium qty”, this is why this becomes incorrect.

7-B:



In the long run, both demand and supply are elastic.

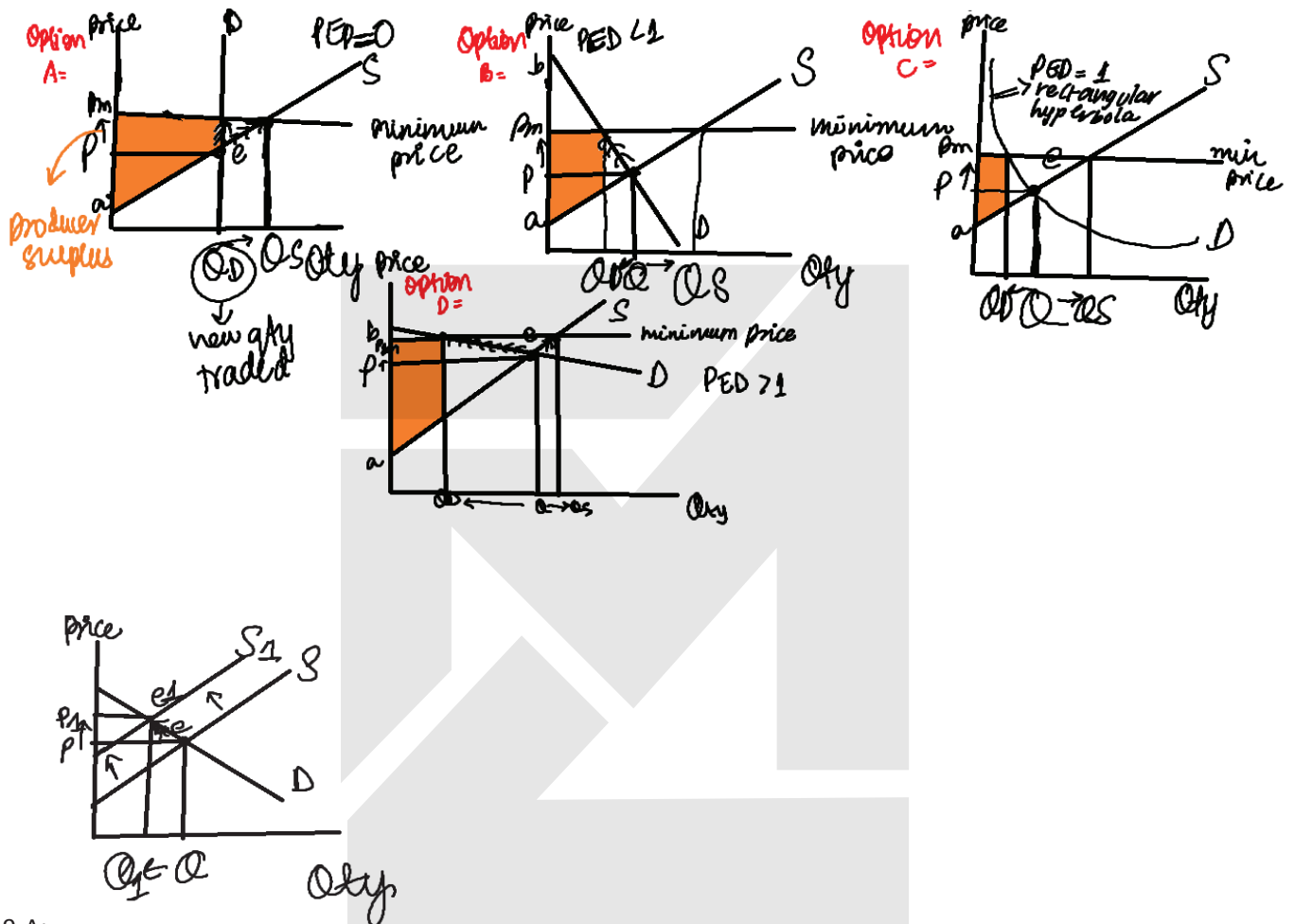
Since the consumers are allowed to vary their purchasing decisions in the long run , the demand is elastic .This is because consumers have the time to notice and respond to fluctuations in prices. Additionally, market research requires time. And it may also take a consumer time to become aware of changes in prices of products they may buy infrequently for example, refrigerators. Therefore, in the long-run demand is elastic.

Whereas, in the long run supply is also elastic as fixed factors of production have become variable, and capital can be varied.

This is why B is the answer that shows the intersection of flatter demand and supply curves, representing elastic demand and supply curves.

8-A:

In case of $PED = 0$, that is, when PED is perfectly inelastic, quantity demanded does not contract, as the rise in price is borne by consumers, therefore the producer surplus maximizes the most.



9-A:

As can be seen in the diagram above, imposition of indirect tax will lead to a rise in cost of production, and in turn a **decrease in supply**, which leads to a shortage, and puts an upward pressure on prices, leading to a **contraction in qty demanded**, this is why option A is correct.

10-A:

A: In case of inferior goods that are relatively lower quality and cheaper as well, a decrease in income brings an increase in demand, leading to a "rightward shift" in the demand curve, thus making this correct.

B: Upon a decrease in price due to for example an increase in supply, there will be a "movement along the demand curve"

C: A decrease in income will lead to a fall in demand for normal goods, making this incorrect

D: A decrease in price of normal good will again cause a movement along the demand curve.

11-A:

price = 1
 $Q_S = 10 + 10P$
 $Q_S = 10 + 10(1)$
 $Q_S = 20$

(A) calculate % change in price
 $\frac{2-1}{1} \times 100 \rightarrow 100\%$

price = 2
 $Q_S = 10 + 10P$
 $Q_S = 10 + 10(2)$
 $Q_S = 30$

(B) % change in Q_S
 $\frac{\text{New-old}}{\text{old}} \times 100$
 $\frac{30-20}{20} \times 100$
 $\frac{10}{20} \times 100 = 50\%$

% change in $Q_S \Rightarrow 50\%$

PES = $\frac{\% \text{ change in } Q_S}{\% \text{ change in price}} \Rightarrow \frac{50\%}{100\%} = +0.5$

12-C:

12.C

% change in volume of rail travel resulting from a rise in price of bus
 $\times \text{Qty of rail travel with respect to the price of bus} \Rightarrow +0.16$

$\rightarrow \frac{\% \text{ change in Qty of rail}}{\% \text{ change in price of bus}} = +0.16$

$\hookrightarrow \frac{x}{1} = 0.16 \Rightarrow x = 0.16\%$ An increase of 0.16%

13-A:

The larger the number of close substitutes, the easier it is to switch demand if the price of one good changes relative to others in a competitive market structure, making the demand "elastic"

Similarly, if a larger proportion of income is spent on the good i.e. the good purchased is a luxury good, of whose consumption can be postponed till future, this makes the demand "highly price-elastic demand"

14-A:

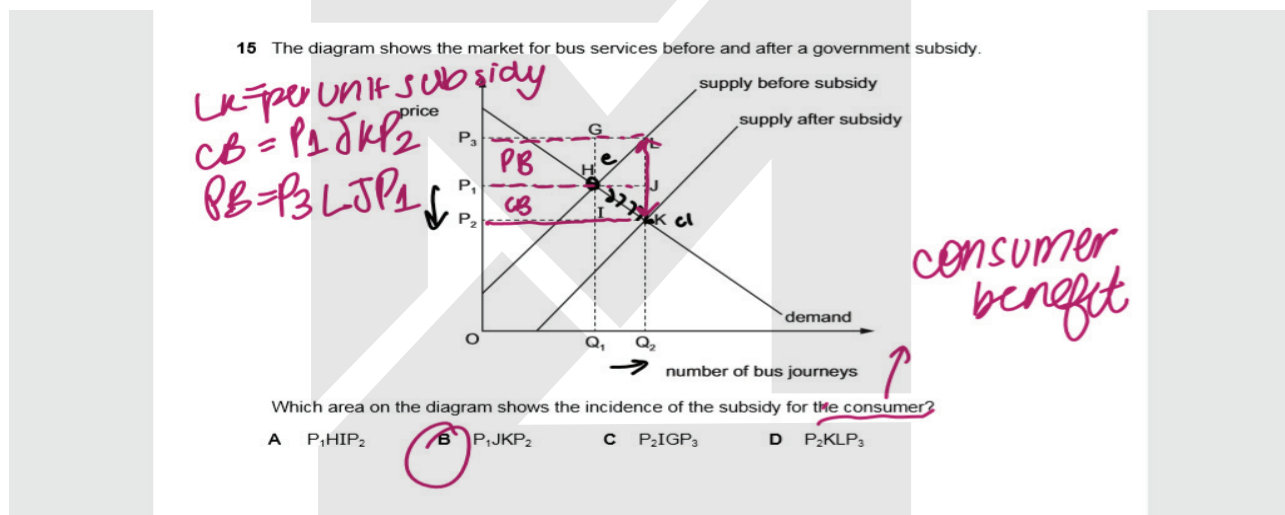
A: After privatization, the supply of goods and services increases, since numerous private sector firms engage in competition with each other to provide consumers with the goods and services they need, this leads to them investing in research and development in technology for example, to provide consumers with a greater choice of "high quality goods" since there is existence of "consumer sovereignty." This is why, this becomes correct.

B: In the short-run, since private sector firms may retain the most efficient workers, employment is likely to decrease, as also they are likely to substitute labor with capital.

C: Innovation in private sector firms will rise to "stay competitive"

D: The production of "public goods" will not decrease, since they are always provided by the government

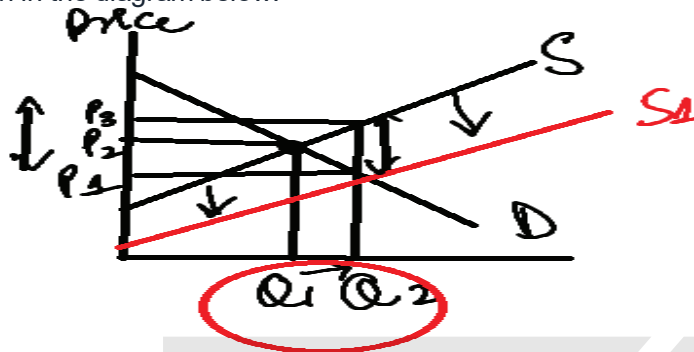
15-B:



16-D:

- A- A maximum price of OP3 per tests represents an ineffective maximum price (since it is imposed above the equilibrium) which will fall back to the equilibrium, therefore causing the price mechanism to be operational, and a quantity of Q1 (equilibrium quantity) to be sold thus making this incorrect.
- B- A minimum price of OP2 per tests represents "the equilibrium price", this means that the equilibrium quantity of Q1 would be sold here too.
- C- A subsidy would have to be given in order to cause the supply curve to shift, and cause an extension in equilibrium quantity from Q1 to Q2. However the per unit subsidy of P3-P1 will have to be given instead of a per-unit subsidy of P3-P2 per test, this is because the opticians will keep some of the benefits to themselves, and pass some benefits in form of lower prices to consumers.
- D- A subsidy that is a financial incentive: a cash or a grant payment will cause a reduction in costs of production, and in turn an increase in supply, this will create a surplus in the market, and cause equilibrium price to fall from P2 to P1 (this is because the per-unit subsidy is paid

to opticians of $P_3 - P_1$ per test), subsequently leading to an extension in qty demanded (equilibrium quantity) from Q_1 to Q_2 , therefore making this correct. This can be seen in the diagram below.



Note that the per unit subsidy is the vertical distance between the two supply curves, and can be found out on the new quantity traded, which in this case should be from P_1 to P_3 .

17-C:

A: When minimum price is set too high, the extent to which consumption will reduce will be greater than if the price flooring was set too low, thus making it effective. Additionally, the government's attempt to nudge individuals through advertising campaigns, specifically education programs, providing adequate information about the true harm these goods present, will help target the existent imperfections and information failure, helping to reduce consumption in the long-run, thus making this policy effective, which is why this is incorrect.

B: When minimum price is set too high, the extent to which consumption will reduce will be greater than if the price flooring was set too low, thus making it effective. And when, non-alcoholic drinks are subsidized, these alternatives will appear relatively cheaper, which may encourage individuals to switch their demand to them, making the actions likely to be successful, thus making this option incorrect.

C: When minimum price is set too low, consumption will reduce by a very smaller percentage, that the reduction may be almost negligible, as individuals may not be much impacted by much when prices rise by only a little, especially when the demand is inelastic, making this policy ineffective. Whereas, if health benefits of reduced alcohol consumption are over-estimated, that is when individuals for e.g. are said "REDUCED ALCOHOL CONSUMPTION CAN CAUSE SOMEONE WITH EXTREMELY DAMAGED LUNGS TO COMPLETELY RECOVER", individuals may tend to underestimate the costs of alcohol consumption, as a result of which, these policies may be ineffective. This is why, this option is correct.

D: When minimum price is set too low, consumption will reduce by a very smaller percentage, that the reduction may be almost negligible, as individuals may not be much impacted by much when prices rise by only a little, especially when the demand is inelastic, making this policy ineffective. But when this legislation is backed by regulations by government, which are strictly enforced, pertaining to the sale of alcohol, the sales may be reduced, thus making it successful to an extent as if the policies are not complied, firms may be subject to heavy fines and penalties. This is why, this option is incorrect.

18-D:

Direct provision involves the government engaging itself in providing goods and services directly; it does not involve price mechanism, that is involvement of market forces of demand and supply

A: Introduction of a “per unit subsidy” represents “government intervention” and not direct provision by the government

B: introduction of “per unit tax “also represents govt intervention, and not direct provision as forces of demand and supply still exist.

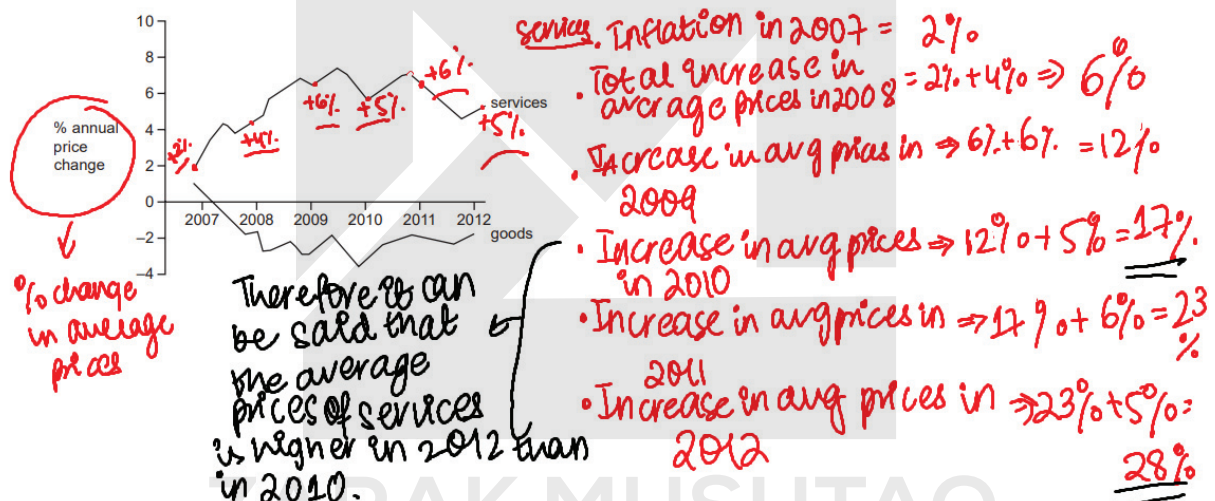
C: introduction of “maximum rent” also represents govt intervention, and not direct provision as forces of demand and supply still exist, although the price mechanism is distorted, and its functioning are affected, it still exists

D: Government taking over a library represents “direct provision”, thus making this correct

19-C:

A – We are given data in percentage form, and since the absolute values showing the prices of goods and services is missing, we cannot judge if prices of services was higher than the prices of goods.

Why not B and Why C? The solution below explains this.



D: We cannot comment upon the fact that there was fall in general price level between 2008 and 2010, because there is a fall in the general price level of goods, and a rise in the general price level of services.

20-D:

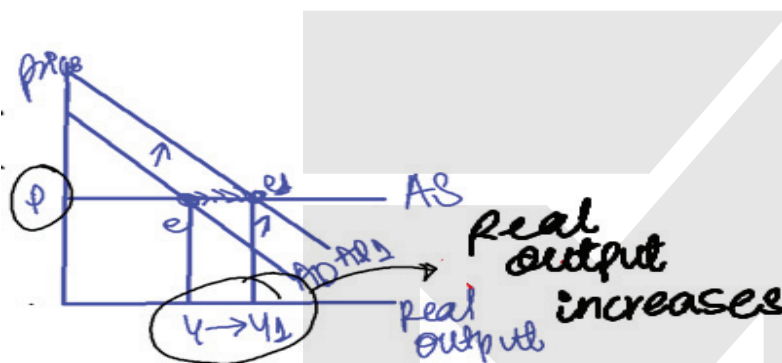
A: A country gaining competitive advantage from devaluation is an advantage .

B: A country having a surplus in capital and financial account will help correcting the deficit.

C: The “J Curve effect ”will be experienced , that is there will be a BOT surplus in the long-run, as Marshall Lerner condition, according to which the sum of PED's of imports and exports must be greater than 1 or in other words ,elastic is fulfilled, which will again be beneficial.

D: High trade barriers represent retaliation, which will reduce the effectiveness of “devaluation”

21-B:



A and D - Perfectly elastic supply represents perfect availability of resources, therefore there is no likelihood of an increase in labor shortages.(option A). And because of surplus of labor, there would not be an upward pressure on the wage rates.(key D)

C- When Aggregate demand increases , in a situation whereby the Aggregate supply is perfectly elastic, that is, there is a perfect availability of resources, there would not be shortages, preventing from any inflationary pressures, therefore the price level will remain unchanged.

B – The economy will only experience growth, that is a rise in real output, without any inflationary pressures. This can be seen above.

22-A:

A: a decrease in country's "interest rates" will lead to lower incentives to invest in an economy, leading to hot money outflows, which will cause a fall in or a leftward shift in the "demand for currency curve"

B: A decrease in money supply would lead to an upward pressure on interest rates, leading to appreciation, as incentives to invest in the domestic economy increase, which means that there is a rise in hot money inflows, leading to a rise in demand for currency

C: Again, a rise in export revenues will lead to an increase in demand for currency

D: A rise in import expenditures will lead to a rise in supply of currency.

23-C:

A – Terms of trade is falling, which means that export prices have decreased.

B _ We cannot comment on whether the general level of prices or the rate of inflation has fallen based on the data of export prices and import prices

C _ Yes, the terms of trade is shown to fall each year, thus making this correct

D – As import prices, import qty or volume is likely to decline, and also, TOT does not directly represent changes in volume.

24-B:

24 The table shows an extract from a country's balance of payments.

	exports \$ billion	imports \$ billion
trade in goods	150	200
trade in services	70	50
primary (investment) income	120	100
secondary (transfer) income	15	20

What is the current account balance?

A -\$10 bn

B -\$15 bn

C -\$30 bn

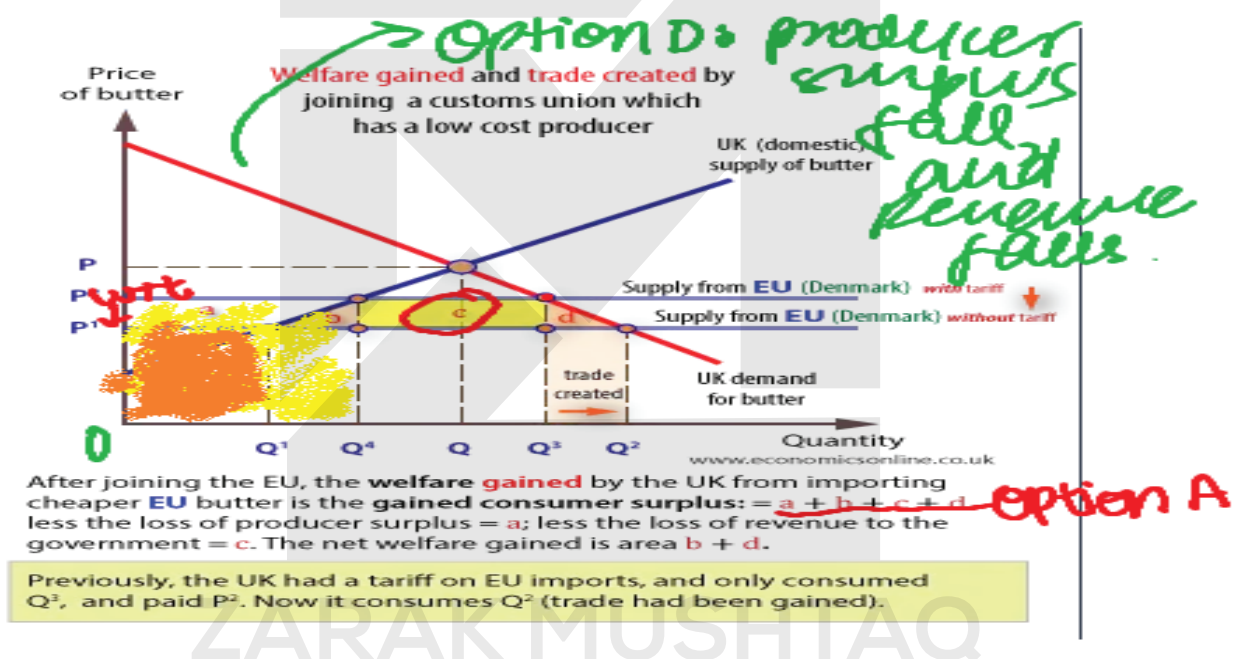
D -\$50 bn

current account = Trade in goods + Trade in services + Primary income + Secondary income
 $-50 + 20 + 20 - 5 = -15 \text{ bn}$
 $-50 + 40 - 5 \Rightarrow -15 \text{ bn}$

25-C:

- 25 The real national income of a country fell by 3%. *rise*
- What could have caused this?
- Real income = Nominal income % - Rate of inflation*
- (A) inflation*
- $-3\% - 6\% = -9\%$
- $-6\% - 3\% = -9\%$
- $+3\% - 6\% = -3\%$
- $+6\% - 3\% = 3\%$
- ☒ A Money national income fell by 3% when the rate of inflation was 6%.
- ☒ B Money national income fell by 6% when the rate of inflation was 3%.
- ☒ C Money national income rose by 3% when the rate of inflation was 6%.
- ☒ D Money national income rose by 6% when the rate of inflation was 3%.

26-A:



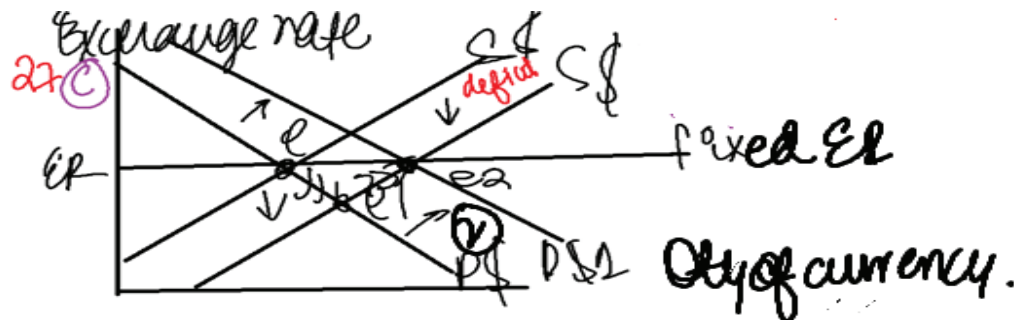
A - There is a movement to free trade, which means that the world price reduces from $P_w + t$ to P_w , as a result of which, consumer surplus rises by " $a + b + c + d$ ", thus making this correct, which can be seen above.

B - Since tariff is removed, tax revenue shown through region C would not be earned

C - Since prices are reduced, inflationary pressures will reduce

D - As more can be imported, revenues and in turn profits of domestic producers will fall.

27-C:



C - In a fixed ER system, the value of exchange rate will need to be maintained, so to counter depreciation arising from a rise in supply due to a BOT deficit, reserves will need to be sold, to artificially increase the demand for the currency and maintain equilibrium. This means that there will be a "fall in the value of reserves"

- A- Domestic money supply would not increase; instead the external supply of currency will increase due to the BOT deficit.
- B- Our economies being in deficit as a result of a fall in export revenues represents that the rival competitors will be in a surplus, thus leaving this option to make no sense, as we might wonder, why would rival economies retaliate when they are already in surplus.
- C- SEE ABOVE
- D- "deficit" may represent a rise in imports and in turn "choices", representing a rise in "short term standard of living"

28-D:

- A- A rise in food prices as a result of "shortages" will contribute to increased inflationary pressures, and is not a positive effect.
- B- Imports of luxury prices would result in a rise in import expenditures relative to export revenues leading to a possibility of a BOT deficit, which can reduce Aggregate demand.
- C- A rise in savings as proportion of household disposable incomes represents a decrease in consumption reducing Aggregate demand.
- D- If consumption of domestically produced goods increases as a result of a fall in income taxes, this represents a rise in Aggregate demand, or in other words, actual growth, which will benefit the economy.

29-C:

_ Increasing the budget deficit: When the government increases its spending or decreases taxes, it injects more money into the economy and this rolling of money leads to stimulation of Aggregate demand. This increased spending can lead to increased consumption and investment due to the "crowding in effect", which can help mitigate deflationary pressures. By increasing aggregate demand, the government aims to counter the downward pressure on prices and output that characterizes deflation.

_ Decreasing the interest rate: Lowering interest rates is a monetary policy tool used by central banks to stimulate borrowing and investment. When interest rates are low, it becomes cheaper for businesses and individuals to borrow money for investment and consumption purposes. This can encourage rise in Aggregate demand, helping to tackle deflationary pressures.

30-D:

A – A cut in income taxes represents an expansionary fiscal policy, which is not an "expenditure-switching policy"

B _ A depreciation of the exchange rate would increase BOT surplus in the long run when Marshall Lerner condition is fulfilled, that is, the sum of PED of imports and exports is greater than 1 , rather than reducing it.

C- Removal of limits on bank lending represents an expansionary monetary policy, which is not an expenditure switching policy

D -When subsidies to exporters are reduced , this will lead to a rise in costs, as a result of which, prices of exported goods will rise, and when this leads to a contraction in qty demanded of exported goods, there will be a fall in export revenues and consequently a reduction in BOT SURPLUS.